

Deposit and redeem: opposite supply effects

1 DEPOSIT 101,000 UNIT

Fee-exclusive admission; then share issuance

Consumed inputs

State: $A = S = 1,000,000$; $F = 0$

User: 101,000 UNIT + 6,000,000 lovelace

Recompute & enforce bounds

Entry fee: 1,000 UNIT

Backing +100,000; issue 100,000 SHARE

Minimum: 99,900 SHARE

Created outputs

State: 1,101,000 UNIT

Receiver: 100,000 SHARE

2 REDEEM 50,500 SHARE

Uses the deposit's successor state

Consumed inputs

State: $A = S = 1,100,000$; $F = 1,000$

Holder: 50,500 SHARE + 5,000,000 lovelace

Recompute & enforce bounds

Gross debit: 50,500; exit fee: 500 UNIT

Pay 50,000 UNIT; extinguish 50,500 SHARE

Minimum: 49,900 UNIT

Created outputs

State: 1,051,000 UNIT

Receiver: 50,000 UNIT

 Fees remain separate from share backing.

UNIT and SHARE amounts are base units. State reserves, output ADA, funder change and network fees remain separately accounted for in Section 9.